SMALL BUSINESS BASICS · CANADA

Pricing Your Services

A practical method for Canadian service businesses

A plain-language guide for Canadian small-business owners

First edition · November 2026

Pricing Your Services — A practical method for Canadian service businesses

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Nothing in this guide is tax, legal or accounting advice. GST/HST rules are set by the Canada Revenue Agency and can change, and every dollar figure in the examples is made up for illustration.

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Before you start

This guide gives you a step-by-step way to price a service business. You will work out what your time really costs, turn that into hourly rates, flat prices and packages, and then present, defend and raise those prices with more confidence.

Who it is for. Canadian owners who sell their time and skill: cleaners, bookkeepers, landscapers, photographers, trades, tutors, consultants, salon owners and similar. The method works whether you work alone or with a small team.

What it covers. Why guessing or copying a competitor is a shaky foundation; how to find your true hourly cost; ways to build a price, from cost-plus to packages; minimum charges, travel fees, rush fees and materials markup; how GST/HST fits into your prices; researching the market honestly; presenting prices and using discounts with care; raising prices; and handling customers who push back.

A note on advice. This guide is general information, not tax, legal or accounting advice. Tax rules, consumer protection laws and contract rules change, and some vary by province or territory. When you are close to a tax or legal decision, check the official source named in the text and talk to an accountant, bookkeeper or lawyer who knows your situation.

About the examples. Every person, business and dollar figure in this guide is made up. The examples are there to show the arithmetic so you can repeat it with your own numbers.

How to use the worksheets. The worksheets and templates near the end are designed to be printed and filled in by hand, or rebuilt in a spreadsheet. You will get the most from this guide if you stop after each chapter and fill in the matching worksheet. Keep last year’s bank statements or bookkeeping reports nearby if you have them.

Know your numbers

Why guessing and copying are risky

It is tempting to set your first prices with a gut check: “What would I be happy to earn per hour?” The trouble is that a number that feels good is a number for your *time*, not for your *business*. It leaves out the costs you only notice once you are running things: insurance, software, the vehicle, and the hours spent quoting jobs you never win. A guessed price can also stay frozen for years. Costs creep up, and the price that once felt fine slowly turns into a pay cut.

Looking at what others charge is useful, and a later chapter shows how to do it honestly. Copying them is different. A competitor may have lower costs than you, or higher costs and be quietly losing money. They may include more or less in the service, run it as a side income, or not have reviewed their prices in years. None of that is visible from outside. Their price tells you what one business decided to charge, not what *you* need to charge.

What a price has to cover

A sustainable price covers five things:

1. **Your pay.** What you need to earn as the owner, before personal income tax.
2. **Overhead.** The running costs of the business that don’t belong to any one job.
3. **Unbillable time.** Hours you work but can’t charge for: quoting, driving, admin, marketing.
4. **Direct costs.** Materials, supplies or subcontractors used on a particular job.
5. **Profit.** Money the business keeps after you are paid, for repairs, slow months and growth.

GST/HST, if you are registered, sits on top of all this. It passes through your hands but is not part of your price.

Your numbers give you a *floor*: the lowest price that keeps the business healthy. Above the floor, price is a choice you make based on value, the market and how busy you want to be. The rest of this chapter follows one made-up owner as she finds her floor.

> **EXAMPLE**
>
> Morgan runs a one-person interior painting business in Dartmouth. She charges $40.00 an hour because it was more than she earned at her last job. She is busy, but there is never much left at the end of the year. She decides to work out what her time actually costs.

Your pay target and overhead

Owner pay target. Start with what you need to take home from the business in a year, before personal income tax. Remember that an employee's wage comes with paid vacation, paid holidays and sometimes benefits, which you now fund yourself. As a self-employed person you may also owe income tax and other amounts at tax time that an employer would have deducted for you, so ask an accountant what to set aside. Morgan chooses $55,000.00 a year. That is her decision, not a recommended figure.

Overhead. List every cost of running the business that isn't tied to one job. Go through last year's bank and credit card statements, and add anything you expect to start paying soon. For shared costs, like a vehicle or phone you also use personally, count only the business share; an accountant can help you split them fairly. Here is Morgan's list. The overhead worksheet in the templates chapter adds a few more typical costs, such as workspace.

Overhead item	Yearly cost	Overhead item	Yearly cost
Vehicle (business share)	$7,200.00	Accounting and bookkeeping	$1,200.00
Liability insurance	$1,500.00	Licences and memberships	$300.00
Phone and internet	$1,200.00	Bank and payment fees	$500.00
Software	$600.00	Training	$400.00
Tools and replacements	$1,500.00	Office supplies	$300.00
Advertising and website	$1,000.00	Contingency	$1,300.00
		Total overhead	**$17,000.00**

> **TIP**
>
> If you are registered for GST/HST and claim input tax credits, the GST/HST you pay on business purchases generally comes back to you, so list overhead at the before-tax amount. If you are not registered, the tax you pay is a real cost, so include it. Confirm the details at canada.ca/revenue-agency or with your accountant.

Your billable hours

Billable hours are the hours you can actually charge a customer for. Once you count quoting, driving and admin, it is fewer than the hours you work, and the gap is easy to underestimate.

Start with the weeks you will work: 52, minus vacation, public holidays and a realistic allowance for sick days and family needs. Then look at a typical week and split the hours. Non-billable tasks include quoting and site visits for jobs you may not win, driving between jobs, picking up supplies, invoicing and email, marketing, maintaining tools and the vehicle, and training. If you have no idea how your week splits up, track it for two or three weeks with a notebook or a timer app.

EXAMPLE

Morgan plans three weeks of vacation and allows two more for holidays and sick days, leaving 47 working weeks. She works about 40 hours a week. A month of time tracking shows that about 12 of those hours go to quoting, driving, buying paint and paperwork. That leaves 28 billable hours a week.

28 billable hours × 47 weeks = **1,316 billable hours a year.**

Your true hourly cost

Add your pay target and overhead, then divide by billable hours. That is your break-even rate. Then decide how much profit the business should keep each year, add it in, and round up.

True hourly cost = (owner pay target + overhead) ÷ billable hours

EXAMPLE

($55,000.00 + $17,000.00) ÷ 1,316 = **$54.71 an hour** to break even. This doesn't include paint or supplies, which Morgan charges separately.

Morgan wants the business to keep $8,000.00 a year as profit, to replace her sprayer and ladders and build a cash reserve. ($55,000.00 + $17,000.00 + $8,000.00) ÷ 1,316 = $60.79, which she rounds up to **$62.00 an hour**.

Compare her old rate. At $40.00 an hour, 1,316 hours bring in $52,640.00. After $17,000.00 of overhead, $35,640.00 is left for her pay and nothing for profit. That is $19,360.00 short of her target, even though she felt busy all year.

The billable hours figure has a big effect. If Morgan could bill only 20 hours a week instead of 28, she would have 940 billable hours, and the same costs and profit would need about $85.11 an hour. Grouping jobs by area, using quote templates and setting a minimum charge all help cut unbillable time.

WATCH OUT

Don't skip profit to make your price look smaller. Profit is not owner pay. A business that only breaks even has no room for a bad month or a repair.

KEY POINTS

- A guessed or copied price leaves out costs and choices you can't see.
- True hourly cost is your pay target plus overhead, divided by billable hours.
- Billable hours are fewer than the hours you work. Track them honestly.
- Add a profit amount on top of break-even, and round up.

Building a price

Once you know your hourly cost, you can build prices in several ways and mix them across your services.

Cost-plus and value-based thinking

Cost-plus is the method from the last chapter: work out what the job costs you, then add profit. It is simple, easy to explain and gives you a clear floor. Its weakness is that it only looks inward. It says nothing about what the work is worth to the customer or what similar services sell for.

Value-based thinking means considering what the result is worth to the customer, not only your hours. A bookkeeper who gets messy records ready before a tax deadline, or a photographer at a once-in-a-lifetime event, may deliver value that has little to do with the hours involved. Use it carefully:

- It never replaces your floor. Whatever the value, don't price below your true cost.
- It depends on understanding the customer. Without asking good questions about what the result means to them, it is just guessing at a higher number.
- It must stay fair and honest. Charging more because someone is in a tight spot, or misleading them about what they get, damages trust and can raise legal problems.
- It may not fit routine services that customers can easily compare.

A practical test: for each service, ask whether your cost-based price feels low for what the work does for the customer. If it does, you may have room to price higher.

Hourly, flat or packages

	Hourly	Flat or package
Best for	Unpredictable work	Work you have done many times
Who carries the risk	Mostly the customer	Mostly you
The customer sees	An open-ended cost	A known total
You benefit from	Fair pay for surprises	Getting faster and better

Hourly pricing protects you when you can't see the problem until you start, such as repairs. Customers can feel nervous about an open-ended bill, so give an estimated range and agree to check in before going over it.

Flat pricing gives customers certainty and rewards skill and good systems, but if a job runs long, you absorb the cost. Build a flat price from hours: list each task, estimate the hours, add travel, setup and cleanup, multiply by your rate, add materials with markup, add a contingency for what commonly goes wrong in that kind of job, and round. After each job, write down the actual hours. That record soon becomes your best estimating tool.

Packages are flat prices for a defined bundle, sometimes offered in two or three levels, like a standard, deep and move-out clean. Define exactly what each level includes and excludes, estimate hours and supplies for a typical customer, add a cushion for less typical ones, and decide what happens when someone needs more. The package builder in the templates chapter walks through it.

Minimums, travel and rush fees

Minimum charge. A 30-minute job can still need a drive, setup and an invoice. A minimum charge makes every visit cover that fixed effort. Morgan's minimum is two hours of labour, $124.00 plus materials.

Travel and call-out fees. Either build travel into your rate, as Morgan's non-billable hours do, or charge it separately. Don't do both. Common approaches are a service area where travel is included with a fee beyond it, travel zones with set fees, or a flat call-out fee for repairs, sometimes credited toward the job if the customer goes ahead.

Rush and after-hours fees. Rush work means moving other customers, working evenings or turning down jobs. Decide in advance what counts as rush in your business, such as work started within two business days of booking, and whether the fee is a flat amount or a higher hourly rate. Write it down so you aren't making it up on the phone.

Marking up materials

Charging customers exactly what you paid for materials can leave you short. Buying materials takes time to choose, order, pick up and return items; ties up your cash until the customer pays; and brings waste, breakage and warranty hassles. A markup covers these. Apply it consistently, and make sure quotes and invoices show how materials are charged.

Markup and margin are not the same. Markup is calculated on your cost; margin is calculated on the selling price. If Morgan buys $180.00 of paint and, in this example, adds a 20% markup, she charges $216.00. The $36.00 difference is 20% of her cost but only about 16.7% of her selling price. Mixing the two up is an easy way to earn less than you planned.

Putting it together

Morgan prices a bedroom repaint she expects to take 10 hours, including prep, two coats and cleanup.

Line	Calculation	Amount
Labour	10 hours × $62.00	$620.00
Materials	$180.00 cost + 20% example markup	$216.00
Travel	Inside her service area	$0.00
Price before tax		**$836.00**

If Morgan is registered for GST/HST and the work is done in Nova Scotia, she adds HST at 14%, which is $117.04, for a total of $953.04.

Adding GST/HST to your prices

This section covers only how sales tax touches your prices. For registering, filing and remitting, see the GST/HST book in this series and the Canada Revenue Agency at canada.ca/revenue-agency. This is general information, not tax advice.

Do you charge it? At the time of writing, you generally don't have to register if you are a *small supplier*: your total taxable revenues (including associated businesses) are $30,000 or less over the last four consecutive calendar quarters and in any single calendar quarter. Some businesses must register regardless, and anyone can register voluntarily. If you are not registered, you don't charge GST/HST.

Which rate? The rate generally depends on where the supply is made, which for services is often where the customer is, not where your business is. At the time of writing, GST is 5%, and the HST provinces have combined rates: Nova Scotia 14%, Ontario 13%, and New Brunswick, Newfoundland and Labrador and Prince Edward Island 15%. Some provinces also have a separate provincial sales tax. Check CRA's current GST/HST rates page before you set up your quotes and invoices. If you serve customers in more than one province, ask an accountant which rate applies.

Before tax or tax-included? You can show prices before tax ("Standard clean: $155.00 plus HST") or tax-included ("Standard clean: $176.70, HST included"). Either can work, as long as nobody can misread it, so say which one you use on your rate card, website and quotes. To find the before-tax part of a tax-included price, divide by 1 plus the tax rate. In this example, a Nova Scotia business registered for HST sets a tax-included price of $120.00. Dividing by 1.14 gives $105.26 before tax; the other $14.74 is HST.

> **WATCH OUT**
>
> The Competition Act prohibits false or misleading representations, and that includes how prices are shown. Don't advertise a price that leaves out fees every customer has to pay. If you are unsure, check Competition Bureau Canada's website or ask a lawyer.

Collected tax is not your money

If you are registered, the GST/HST you collect is held for the government until you file and pay it. It is not income or profit. Look at sales before tax when you judge how the business is doing, move the tax portion of each payment into a separate account as it comes in, and never count it when you check whether a price covers your costs.

Crossing the small supplier threshold changes your pricing. If you add tax to your existing prices, customers who can't claim it back, such as households, pay more. If you absorb it, your income per hour drops.

EXAMPLE

Morgan charges $62.00 an hour. After registering for HST in Nova Scotia, she could add tax, so a homeowner pays $70.68 an hour. Or she could keep $62.00 as a tax-included price, but then she keeps only $54.39 an hour, which is below her break-even rate of $54.71.

Neither choice is wrong, but make it on purpose and plan it before you reach the threshold.

KEY POINTS

- Start with cost-plus, then adjust for value, the market and your goals.
- Use hourly pricing for unpredictable work and flat prices or packages for work you know well.
- Write down your minimum charge, travel fees and rush fees, and mark up materials to cover what buying them really costs.
- Say clearly whether prices include GST/HST, and remember that collected tax is never part of your price or profit.
- Confirm current tax rates and rules with CRA, and ask an accountant about your situation.

Checking the market and presenting prices

Research the market honestly

Your cost-based price tells you what you need. The market tells you what customers are used to seeing. Market research won't give you the "right" price, but it gives you context.

Look at what is published: competitors' websites and social media, online directories and booking platforms, association rate sheets where they exist, ads and community boards, and contract or job postings for similar work. Compare like with like: what is included, the service area, whether tax is included, and whether "from $99" is a starting point or a full price.

Ask your own customers. When someone accepts a quote, ask what made them choose you. When someone declines, ask politely whether price was the reason and what they chose instead. Ask long-time customers what they value most. Write the answers down and look for patterns.

Talk to people in your field, carefully. Other owners can help you understand costs and pricing methods. Two cautions: don't pose as a customer to get competitors' quotes, which wastes their time and isn't honest; and don't agree on prices with competitors. Agreements between competitors about what to charge can raise serious problems under competition law. Talk about methods, not about what you will each charge, and check Competition Bureau Canada's website if unsure.

Then compare. If your price is inside the range you found, check it clears your floor and move on. If it is above, be ready to explain what customers get, such as experience, insurance, a warranty or speed. If it is below, you may have room to raise it. If your *floor* is above the range, take a hard look at your overhead and billable hours, consider a more specialized service, or ask an accountant or business advisor to review your numbers.

Rate cards and clear options

A rate card is a one-page summary of your prices, on your website, in an emailed PDF or on paper. It should answer the common questions: what each service includes, the price and whether it is per hour, visit or job, whether tax is included, your minimum charge, travel fees and service area, rush fees, how materials are charged, and the date the prices took effect. An effective date makes later updates easier and shows which version a customer saw.

Two or three clear options can help customers choose without feeling pushed, as long as each is clearly different and the reason one costs more is obvious. A long list of add-ons, each with its own fee, can feel like nickel-and-diming even when every fee is fair. If customers need you on the phone to understand your prices, simplify.

A disagreement about price can really be a disagreement about scope. Write down what the price includes, what it doesn't, what happens if the customer asks for more, and how long the price is valid. The quoting book in this series covers this in more detail.

Deposits, cancellations and paid estimates

Some pricing decisions protect your time rather than set the price itself.

Deposits. For large jobs, or bookings that block out a whole day, a deposit can cover materials you buy in advance and reduce the cost of a last-minute cancellation.

Cancellation fees. If a late cancellation leaves you with an empty slot you can't fill, a cancellation fee can make up part of the loss.

Paid estimates. If quoting takes real time, such as a detailed site visit or a review of someone's records, you might charge for it and credit the fee toward the job if the customer goes ahead.

State deposits, cancellation fees and estimate fees clearly before the customer books, and get their agreement. Rules on deposits and consumer contracts vary by province, so check your province's consumer protection rules or ask a lawyer before you set them.

Discounts

A discount comes straight out of profit, which is a much smaller number than your price.

> **EXAMPLE**
>
> Morgan's rate is $62.00 and her break-even is $54.71, so her profit is $7.29 an hour. A 10% discount takes $6.20 off her rate and wipes out almost all of her profit on the job.

Discounts can make sense when they serve a clear purpose: filling quiet periods you can't otherwise fill, prepaid packages that bring cash up front and save admin, efficiency such as several jobs on one street on the same day, or a non-profit rate you choose to offer knowing what it costs. Think twice before discounting to win a job that won't cover your costs, by reflex whenever someone hesitates, or as an "introductory" price with no end date. When you do discount, show the full price and the discount as separate lines so the customer sees what the service is worth.

> **KEY POINTS**
>
> - Market research gives context, not the answer. Compare like with like.
> - Never pose as a customer or agree on prices with competitors.
> - A rate card should answer the common questions, including tax, minimums and an effective date.
> - A discount comes out of profit, so use it on purpose and show it as a separate line.

Raising prices and handling pushback

When and how much

Your prices deserve a fresh look when your costs have gone up, when your worksheet shows you are below your floor, when you are booked far ahead and turning work away, when you have gained skills or equipment that improve the service, when the scope of what you deliver has grown, or simply when you haven't changed prices in a long time.

There is no correct percentage. Start with your numbers:

1. Redo the true hourly cost worksheet with this year's costs and hours.
2. Compare it with your current rate. A new rate needs to clear your floor with profit.
3. Check where the new rate sits against your market research.
4. Decide whether to raise everything at once or in stages.
5. Decide whether existing customers move at the same time as new ones, or later.

Either approach in step 5 can work. Be consistent and be ready to explain your choice.

> **EXAMPLE**
>
> Dana, the cleaner in the next chapter, redoes her worksheet. Higher insurance and fuel costs have raised her break-even from $41.50 to $44.00 an hour, so her old rate of $45.00 leaves only $1.00 an hour of profit. She sets a new base rate of $48.00, which moves her standard clean from $145.00 to $155.00 before tax, and gives existing customers written notice before the change.

> **NOTE**
>
> If you have a written contract or service agreement, check what it says about price changes before you raise prices, and ask a lawyer if it is unclear. Consumer protection rules vary by province.

Telling existing customers

Give notice in writing, in plain language. A good notice thanks the customer, states the new price and the date it starts, gives a short honest reason, says what stays the same, and tells them who to contact with questions. Give enough notice for customers to plan, especially those on regular service or with budgets to manage. You don't need to apologize. The templates chapter has a letter and a short email.

Some customers may leave after an increase. Before sending the notice, decide what you would do with that time, such as taking on customers at the new rate. That makes the decision easier to stand behind.

Handling price objections

A price objection doesn't always mean your price is wrong. Sometimes the customer needs more information, wants reassurance, or is comparing your quote with something different.

- **Stay calm and curious.** Ask what they were expecting and why.
- **Explain, don't defend.** Describe what the price includes and why it costs what it does.
- **Change the scope, not the price.** If the budget is fixed, offer a smaller job rather than the same job for less.
- **Know your floor.** If the only way to win the job is below your true cost, let it go politely.
- **Don't criticize competitors.** Talk about what you offer, not what they don't.

The objection responses in the templates chapter give you wording to adapt.

Reviewing prices on a schedule

Pick a regular date to review your prices, such as when you do your year-end paperwork or before your busy season, and put it in your calendar. A planned review makes price changes routine rather than a crisis. The annual pricing review checklist in the templates chapter walks you through costs, hours, actual job times, the market and customer feedback.

KEY POINTS

- Review prices when costs rise, when you are below your floor, or when you are fully booked.
- Base any increase on your numbers, not a round percentage.
- Check contracts first, then give existing customers clear written notice.
- Answer objections by explaining and adjusting scope, not by going below your floor.

Pricing in practice: four examples

These businesses and numbers are made up. They show the same method at work in different services.

A residential cleaner

Dana cleans homes in Truro on her own, and her base rate, including profit, is $48.00 an hour. For a typical two-bedroom home she sells three packages:

Package	Estimate	Price before tax
Standard clean	3 hours + $8.00 supplies	$155.00
Deep clean	5.5 hours + $15.00 supplies	$285.00
Move-out clean	7 hours + $20.00 supplies	$360.00

Larger homes are quoted after a walk-through. Travel inside town is included, there is a $15.00 fee per visit outside town, and her minimum charge is the standard clean price. Packages suit cleaning because customers can picture the result, and Dana tracks her actual time on each clean so she can adjust the estimates.

A bookkeeper

Priya works in Halifax with a base rate of $75.00 an hour. Most of her work is regular monthly bookkeeping, so she sells monthly packages by transaction volume:

Monthly package	Typical time	Monthly price before tax
Up to 50 transactions	3 hours	$225.00
51 to 150 transactions	6 hours	$450.00
Over 150 transactions	Varies	Quoted

Catch-up work on old records is hourly, with an estimate and a deposit. Her biggest risk is scope creep, as a client’s business grows and the package quietly gets bigger. Each package description says what happens when a client goes over their tier, and she reviews packages every six months.

A landscaper

Jordan runs a landscaping business near Bridgewater with one seasonal helper. Working about 28 weeks a year instead of 47 means the same pay target and overhead must be earned in fewer billable hours, which pushes the hourly rate up. Jordan sells weekly lawn care as a season contract billed monthly, spring and fall cleanups at flat prices by property size, garden installs as projects

with plants, soil and mulch marked up, a one-hour minimum for any visit, and a rush fee for jobs booked on short notice. The helper's wages and the employer costs that come with them belong in the cost of each crew hour, not in overhead; Jordan's accountant helped work out that full cost.

A photographer

Sam is a portrait photographer in Moncton with a base rate of $55.00 an hour. A two-hour family session takes 2 hours of shooting, 1 hour of travel and setup, 4 hours of selecting and editing, and half an hour of communication and delivery: 7.5 hours × $55.00 = $412.50. She rounds up to a $425.00 package that includes a set number of edited images. Her packages also spell out what clients may do with the photos, such as personal use only; a lawyer can check the wording of that permission, often called a licence.

What the four have in common. Each owner started from a base rate built on real costs and billable hours, then chose the pricing shape that suits the work: packages for Dana, monthly tiers for Priya, season contracts and projects for Jordan, and session packages for Sam. Each wrote down what the price includes, set a minimum or a clear starting point, and keeps a record of actual hours to check the estimates. If you have staff, as Jordan does, ask your accountant to help you work out the full cost of each paid hour, including employer costs, before you set your rates.

KEY POINTS

- The same method works across services: know your rate, then build each price around it.
- Packages suit work customers can picture; hourly suits unpredictable work.
- Seasonal businesses must earn a full year's costs in fewer weeks.
- Count hidden hours, such as editing, admin and travel, in every package.

Templates and worksheets

Print these or rebuild them in a spreadsheet, and replace every example with your own figures.

True hourly cost worksheet

WORKSHEET

Line	Your figure
A. Owner pay target for the year (before personal income tax)	$_____
B. Total yearly overhead (from the overhead list)	$_____
C. Profit the business should keep this year	$_____
D. Total to cover (A + B + C)	$_____
E. Working weeks (52 minus vacation, holidays, sick days)	_____
F. Hours worked in a typical week	_____
G. Non-billable hours in a typical week	_____
H. Billable hours per year (E × (F − G))	_____
I. Break-even rate ((A + B) ÷ H)	$_____
J. Rate with profit (D ÷ H)	$_____
K. Rounded base rate I will use	$_____

Overhead list

WORKSHEET

Item	Yearly cost	Item	Yearly cost
Vehicle (business share)	$_____	Licences, permits, memberships	$_____
Insurance	$_____	Bank and payment fees	$_____
Phone and internet	$_____	Training and courses	$_____
Software and subscriptions	$_____	Workspace or home office share	$_____
Tools and replacement savings	$_____	Office supplies	$_____

Item	Yearly cost	Item	Yearly cost
Advertising and website	$_____	Other	$_____
Accounting, bookkeeping, legal	$_____	Contingency	$_____
		Total yearly overhead	$_____

Job pricing worksheet

WORKSHEET

Item	Amount	Item	Amount
Estimated hours	_____	Travel or call-out fee	$_____
Hourly rate	$_____	Rush fee, if any	$_____
Labour (hours × rate)	$_____	Contingency	$_____
Materials at cost	$_____	**Price before tax**	$_____
Materials markup	$_____	GST/HST, if registered	$_____
Subcontractors or rentals	$_____	**Total to customer**	$_____

Customer and job: _____

At or above my minimum charge? _____ **Actual hours after the job:** _____

Package builder

WORKSHEET

Package name and who it is for: _____

What is included: _____

What is not included: _____

Estimated hours for a typical customer: _____ **Direct costs:** $_____

Cost at my rate (hours × rate + direct costs): $_____ **Cushion:** $_____

Package price before tax: $_____

How it differs from the next level: _____

What happens if a customer needs more: _____

Annual pricing review checklist

CHECKLIST

- [ ] Update my overhead list, owner pay target and profit goal
- [ ] Recount billable and non-billable hours, and redo the true hourly cost worksheet
- [ ] Compare estimated and actual hours on recent jobs
- [ ] Check materials prices, my markup, minimum charge, travel fees and rush fees
- [ ] Look at published prices in my market and review customer feedback on quotes
- [ ] Confirm my GST/HST status and current rates with CRA
- [ ] Check contracts for notice terms, decide on changes, and send customers written notice
- [ ] Update my rate card, website, quote and invoice templates
- [ ] Book next year's review in my calendar

Rate card layout

TEMPLATE

[Business name] — Rates effective [Date]

[Service 1]: [What is included]. $[Price] [per hour / per visit / per job]

[Service 2]: [What is included]. $[Price]

Minimum charge: $[Amount] per visit. **Service area:** [Area]. Travel beyond it: $[Amount].

Rush service (booked within [time frame]): $[Amount]. **Materials:** cost plus [your markup], listed on your invoice.

Taxes: Prices are [before GST/HST / GST/HST included]. **Contact:** [Phone] · [Email]

Price increase letter

TEMPLATE

[Date] · Dear [Customer name],

Thank you for choosing [Business name] for your [service]. I'm writing to let you know that starting [Effective date], my rate for [service] will change from $[Old price] to $[New price] [per visit / per hour / per month], before tax.

Over the past [period], my costs for [insurance, fuel, supplies, software — choose what applies] have gone up. This change lets me keep providing the service you're used to. Nothing else about your service will change. [Your schedule, what's included and how you pay stay the same.]

If you have questions, or would like to talk about adjusting your service to fit your budget, please call me at [Phone] or email [Email].

Sincerely, [Your name], [Business name]

Price increase email (short version)

TEMPLATE

Subject: Update to [Business name] rates starting [Effective date]

Hi [Customer name], a quick note that starting [Effective date], my rate for [service] will be $[New price] [per visit / per hour], before tax. It is currently $[Old price]. This reflects higher costs for [reason]. Everything else stays the same. Questions? Just reply or call [Phone]. Thank you for being a customer. [Your name], [Business name]

Objection responses

TEMPLATE

"That's more than I expected." "That's fair to ask about. Can I walk you through what's included? [Explain.] If the budget is tight, we could look at [smaller scope] for $[Amount]."

"Someone else quoted less." "Thanks for telling me. Quotes can cover different things, so it may help to compare. Mine includes [key items]. If theirs is a better fit, I understand."

"Can you do it for less?" "I've priced this to cover the work properly, so I can't lower it for the same job. I can [reduce scope / change timing / offer the basic option] to bring it to $[Amount]."

"I need to think about it." "Of course. This quote is good until [Date]. Is there anything I can explain or change that would help?"

"Just give me a ballpark." "Based on what you've told me, roughly $[Low] to $[High]. I'd want to [see the space / ask a few questions] before giving you a firm price."

Checklist

Use this list to work through the guide and put your pricing on a solid footing.

CHECKLIST

- [ ] Set my owner pay target for the year
- [ ] List all overhead costs, using before-tax amounts if I claim input tax credits
- [ ] Track my time for two or three weeks to find my billable hours
- [ ] Work out my break-even rate and my base rate with profit
- [ ] Decide which services are hourly, flat-rate or packages
- [ ] Set a minimum charge
- [ ] Decide on deposit, cancellation and estimate terms, and how I will tell customers
- [ ] Decide how I charge for travel, call-outs and rush work
- [ ] Choose how I mark up materials, and write it down
- [ ] Confirm my GST/HST status and current rates with CRA
- [ ] Decide whether to show prices before tax or tax-included, and say so everywhere
- [ ] Set up a separate account for GST/HST I collect, if registered
- [ ] Look at published prices in my market and ask customers what they value
- [ ] Build or update my rate card, with an effective date
- [ ] Write down what each service includes and excludes
- [ ] Decide when I will and won’t offer discounts
- [ ] Prepare my responses to common price objections
- [ ] Put an annual pricing review in my calendar

Where to learn more

Official sources

- **Canada Revenue Agency** (canada.ca/revenue-agency): GST/HST rates, small supplier rules, registration, input tax credits and record keeping. Check the current GST/HST rates page before you set up quotes and invoices.
- **Competition Bureau Canada** (competition-bureau.canada.ca): information on false or misleading representations, including how prices are advertised, and on agreements between competitors.
- **Your provincial or territorial government:** consumer protection rules on contracts, estimates and price changes vary by province. In Nova Scotia, start at novascotia.ca. Elsewhere, look for your province's consumer protection office.

Other books in this series

- The **GST/HST book** covers registering, charging, filing and remitting in more depth.
- The **quoting book** covers writing clear quotes and estimates.
- The **invoicing book** covers getting paid once the work is done.

Talk to a professional

- An **accountant or bookkeeper** can help you split shared costs, work out what to set aside for tax, check your true hourly cost, and plan for GST/HST registration.
- A **lawyer** can review your contract terms, price change clauses, and any permission or licence wording, such as how clients may use photos or designs.
- A **business advisor** at a local small business support organization can be a useful sounding board when your numbers don't add up.

Whichever professional you talk to, bring your completed worksheets. They make the conversation faster and more specific to your business.

Pricing is never finished. Your costs, skills and customers will change, and your prices should change with them. With the worksheets in this guide, each review becomes a matter of updating your numbers and making a clear decision.